When an insurance company gets insurance coverage on its insurance policies, it is considered a case of reinsurance. For the development of insurance in an economy the presence of reinsurance companies is a precondition. It becomes an essential precondition if the economy is trying to develop and expand insurance with the active participation of the private sector insurance companies. This made the Government convert the GIC into a re-insurance company in 2000—this is the sole re-insurer in India, that too in the public sector. (Nobody can be a better insurer or reinsurer than the Government itself!).

Deposit Insurance and Credit Guarantee Corporation (DICGC)

DICGC was set up by merging the Deposit Insurance Corporation (1962) and the Credit Guarantee Corporation (1971) in 1978. While Deposit Insurance had been introduced in India out of concerns to protect depositors, ensure financial stability, instill confidence in the banking system and help mobilise deposits, the establishment of the Credit Guarantee Corporation was essentially in the realm of affirmative action to ensure that the credit needs of the hitherto neglected sectors and weaker sections were met. The essential concern was to persuade banks to make available credit to not so creditworthy clients. After the merger, the focus of the DICGC had shifted onto credit guarantees. This owed in part to the fact that most large banks were nationalised. With the financial sector reforms undertaken in the 1990s, credit guarantees have been gradually phased out and the focus of the Corporation is veering back to its core function of Deposit Insurance with the objective of averting panics, reducing systemic risk, and ensuring financial stability.

EXPORT CREDIT GUARANTEE CORPORATION (ECGC)

The overseas projects undertaken by the Indian companies face many ***political*** and ***commercial risks*** in the importing countries. To provide adequate credit insurance cover to such firms, the government has set up the